THE INDUSTRIAL AND MINING DEVELOPMENT BANK OF IRAN

Richard P. Rumelt

In 1973 the Industrial and Mining Development Bank of Iran (IMDBI) was Iran's largest and most influential source of medium and long term industrial loans. Like the thirty-two other development finance companies associated with the World Bank, IMDBI did not engage in traditional banking activities to raise funds; instead it relied ondirect loans from the Iranian government, the World Bank and otherinternational agencies, foreign banks, and foreign development agencies to meet its funds needs. These funds were then re-lent to private Iranian corporations that met IMDBI's project screening criteria.

In the summer of 1973, Mr. Abol Gassem Kheradjou, the managing director and chief executive of IMDBI, was considering hiring a consulting firm to help him clarify his thinking about the future of the bank. "Aslong as Iran's booming growth continues," he reflected, "I don't see howIMDBI can help but grow and prosper. There are, however, several questionsto be resolved as to the directions of future growth and the ability of the bank's staff to cope with continued expansion."

Mr. Kheradjou was particularly interested in evaluating the consequences of continued rapid growth. During 1967/8-1972/3[1], IMDBI's rate of loan disbursement grew at 19.5% per year and management forecast a 24.2% per year increase during the coming five years. Management also planned on changes in the bank's business mix that would increase rather than lighten the staff's workload: promoted projects (created by the bank itself rather than by private investors) would form a larger share of IMDBI's business and greater emphasis would be placed on technically complex joint ventures with foreign firms. In recent years a small cadre of experienced staff members and the top management group had been forced to carry more and more of the increasing workload. Could IMDBI, many staff members asked, try to rapidly expand both its business level and its project promotion and supervision responsibilities without suffering a deterioration in the quality of its internal operations?

The maintenance of high standards was of critical importance to IMDBI. The trust and support it had received from the Iranian government and the business community were dependent upon its reputation for

---

[1]The Iranian solar year begins on March 21 and Iranian year 1352 began on March 21, 1973. The notation "1972/3" refers to the Iranian year ending on March 20, 1973.

This material was made possible by the cooperation of the Industrial and Mining Development Bank of Iran. It was prepared by Assistant Professor Richard P. Rumelt to serve as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation.

Copyright © 1974 by the Iran Center for Management Studies

scrupulous honesty, careful appraisal proceedures, even-handed and competent dealings with joint venture partners, and wide experience in industrial lending and project promotion. At the same time, the bank's senior management group was convinced that IMDBI's influence and power would suffer if it did not expand rapidly. "Private industrial investment will grow at 15 % annually during the next five years," Mr. Kheradjou commented, "and even faster in the more modern sectors. We must not only match this growth, we must lead. This institution is the cutting edge of industrial development in Iran and if we shirk our role there is no one else to do the job. While other sources of long-term funds exist, none are as experienced and as competent as we are. We have a responsibility to our stockholders and to Iran to undertake every well conceived project that comes before us."

Background

IMDBI first opened its doors for business in 1959. Formed through the cooperative efforts of a consortium of European and U.S. banks, and the Iranian government, IMDBI was expected to play an important role in Iran's program to raise living standards through rapid industrial growth. IMDBI was chartered to provide medium and long-term loans to private industry, to make direct equity investments in private companies, to develop Iran's capital markets, and to stimulate and provide technical assistance to investment in new industries. IMDBI was Iran's first privately owned industrial finance company and immediately established itself as an innovator by becoming the first company in Iran to raise equity capital by a public issue of common stock.

The bank's charter specified that although 60% of its shares were held by Iranian nationals, the control of the board of directors, and hence the management of the bank, would be by the foreign consortium of shareholding banks for the first five years. The bank's growth in these early years was slow; a three year recession, partly created by overly restrictive monetary policies, slowed industrial expansion almost to a standstill and few loan applications, other than for distress loans, were received.

In December, 1963, Mr. Kheradjou became IMDBI's managing director and the first Iranian top manager. Before assuming this position he had served as deputy director of the Far East Department at the World Bank and had prior to than been an auditor for the National Iranian Oil Company. Seven months after Mr. Kheradjou became managing director, formal control of the bank passed from foreign to Iranian hands and all of the key management positions were filled by Iranians. Looking back on that time, Mr. Kheradjou recalled:

> When I took over the management of the bank economic conditions were poor and the private sector was weak, pessimistic, and lacked the courage to take independent aggressive action.

> The bank itself was not really equipped to render much aid. The foreign managers had taken a conservative attitude towards lending and few of the Iranian staff members had been well trained.

Mr. Kheradjou's first actions were to send bank staff members abroad for training and to establish closer working relationships with the Central Bank of Iran and the Ministry of Economy so that the bank could directly promote needed investment projects. "The private sector wasn't coming to us," he noted, "so I decided that we would have to do our own spadework and present investors with pre-packaged investment projects." Greatly aided by a dramatic economic recovery, the bank's aggressive promotion and lending policies led to a significant increase in business. Within three years the rate of loans being signed had risen by more than a factor of three and the rate at which it made equity commitments had increased by more than a factor of six.

In the spring of 1973 IMDBI reported that its thirteenth year of operations had produced record profits of Rls. 301 million ($4.36 million)[1] and that its portfolio of loans and investments had increased to the level of Rls. 21,476 million ($312 million). During the last ten years (1963/4 - 1972/3), Iran's buoyant economy and government policies encouraging industrial investment had helped IMDBI increase its level of invested funds at an average compound rate of 26.5% per year while profits grew at an average rate of 21.6% per year. Exhibits 1, 2, and 3 provide balance sheets and income statements for IMDBI for this period.

During the same ten year period, Iran's GNP per capita grew at an average rate of 9.7% per year (at constant prices), increasing from $214 in 1962/3 to $538 in 1972/3. The growth of the industrial sector was even more rapid, averaging 15.2% per year. This growth had been powered by a total gross investment of about Rls. 200 billion ($2.9 billion) in the private sector between 1963/4 and 1972/3. IMDBI's management stated that the bank had provided about one-fifth of all funds invested in the private sector in this period and its client firms as a whole accounted for 59% of gross private capital formation. (Exhibit 6 shows Iran's national income accounts and Exhibit 7 provides an analysis of IMDBI's contribution to gross domestic fixed capital formation).

According to Mr. Kheradjou, much of the growth in industry that had taken place had been stimulated and made easier because of IMDBI's twin policies of project promotion and institution building:

> Most banks are simply in business to make money -- to offer financial services for a fee. Too many development banks have this same outlook; they concern themselves with screening out the poorly conceived loan requests and with accepting the good ones. Now, the real problem in most developing nations

---

[1] The exchange rate was $1 = Rls. 68.85 in 1973.

> is not screening but the fact that not enough good projects are forthcoming. We, therefore, see ourselves as changing the environment rather than responding to it. We help investors formulate good projects, we undertake ourselves projects that private investors are unwilling or unable to do on their own, and we aid local enterpreneurs in locating and working with foreign collaborators. The bank contributes managerial help to projects that get into difficulty, it promotes wider share ownership, has helped establish the Tehran Stock Exchange, and has been instrumental in developing the accounting profession in Iran. By acting not just as a lender but as a partner in business IMDBI has helped create a climate of confidence and a much greater willingness to take risk on the part of private entrepreneurs.

IMDBI's management believed that 1973 was a particularly important milestone in the history of the bank as it marked its emergence as a "mature financial institution of world-wide stature." This was demonstrated, they held, by IMDBI's recent entry into world capital markets -- by the spring of 1973 the bank had negotiated loans amounting to over $100 million from German and Japanese banks and raised DM 60 million ($21 million) through an issue of its own bonds (12 year, 7½ %) in Germany.

Although IMDBI was accustomed to rapid growth and management was generally confident about the future, growth of this magnitude raised many questions as to what the bank would or should be like in five years. As one member of the management group put it:

> When a small institution doubles in size it can retain a degree of flexibility but when a larger institution contemplates doubling you must be very careful to avoid being frozen into a form that creates long-term difficulties. At IMDBI this problem is complicated by the large number of options open to the bank and by the enormous complexity of development itself.

One of the specific complexities that the bank faced was the changing nature of industry in Iran. During the Fourth Plan period (1967/8-1972/3) much of Iran's private sector industrial growth occured in the form of import substitution -- the replacement of imports of finished goods with the importation of raw materials and intermediate goods for local processing and assembly. During the Fifth Plan, however, the government was determind to increase the local value added by industry as well as force a greater utilization of local materials and intermediate products. This movement towards a deepening of the country's industrial structure meant that pressure would be on the bank to (1) undertake and support projects that were more integrated and relied less on imported materials, (2) encourage the expansion of existing plants through backwards integration (e.g. automobile assemblers moving to the manufacture of engines, gear boxes, etc.), (3) consider a much greater degree of complexity of interrelationships among industries as it appraised projects, (4) provide loans and investments of much greater size, and (5) learn to work with more sophisticated technologies.

Iranian Industry, Finance and Capital Markets

Up until the early 1970's, Iran's basic development strategy was to create a modern dynamic industrial sector whose growth would more than compensate for the relative stagnation in agriculture. Government planners counted on steadily increasing oil revenues to provide the foreign exchange necessary to finance heavy capital expenditures and hoped to build up a "critical mass" of skills and modern methods in the industrial sector as rapidly as possible. Once this "critical mass" had been achieved, modernization would spread, they expected, to other sectors of the society.

To encourage industrial investment the government provided a liberal package of benefits and incentives: tariff protection, reduced taxes, industrial credit facilities, and tariff-free importation of capital equipment. These policies, together with political stability, had brought forth a rate of industrial investment that more than met the planner's targets. Between 1962/3 and 1972/3, the manufacturing sector's output grew at an average rate of 15.2% per year and its contribution to the GNP rose from 11% to 20%.

While Iran had been one of the poorest regions on the planet sixty years before, by 1973 it had living standards well above the world average and was aspiring to European GNP per capita levels. Mr. Kheradjou commented on the reasons for Iran's recent rapid growth as follows:

> There are four basic reasons for Iran's success at rapid development. First, and often ignored, is the fact that for twenty to thirty years the country has slowly but surely been building its infrastructure. Roads, ports, schools, and other key facilities take a long time to acquire in quantity, but there comes a point when the country is ready to use them and they have to be there. Secondly, we have had a degree of political stability and enlightened leadership that is rare in the less developed world. Third, we are experiencing a "reverse brain drain" as thousands of educated young Iranians who were educated abroad choose to return to Iran because of the opportunities they see here. Fourth, our oil revenues let us develop without the pain of forced savings and undue sacrifice. I think that any country that can muster infrastructure, leadership, educated professionals and a secure source of foreign exchange can develop rapidly. Unfortunately, there are very few that have been able to do this.

While more and more private corporations had begun to produce consumer and industrial products, the basic raw materials industries were reserved for the government. One of the most fundamental economic doctrines put forward by the Shah of Iran was that private individuals could own neither Iran's natural resources nor the industries based immediately upon them (e.g. oil, petrochemicals, forestry, basic steel, copper). During most of the 1960's government investment in these industries was at a lower absolute level than gross private investment but grew equally as fast. In the late 1960's and early 1970's, however, government investment in basic

industries accelerated dramatically as a number of very major projects neared completion.

The high rates of protection given to private industry had tended to produce high profit rates and a disinclination to export. While official data was not available on the subject of profitability, most industrialists considered a 15% after tax return on equity to be a minimum target, aimed for a 20% to 30% return, and the achievement of even higher rates was not uncommon.

These relatively high rates of return on equity were, in part, due to the tendency to employ debt-to-equity ratios that were high by U.S. and European standards. Informed sources estimated that the typical private corporation had a total debt-to-equity ratio of between two and three, giving a capital structure roughly as follows:

Domestic credits and loans	45%
Foreign supplier's credits	25
Equity	30
Total invested Capital	100%

This degree of leverage was obtainable because many commercial banks still loaned on the basis of the borrower's reputation and those that required collateral often accepted mortgages on the entrepreneur's personal property (home, land, etc.) as well as his business assets.

Capital Markets. The structure of Iranian capital markets was similar to that found in most developing countries; few of the multitude of financial instruments and institutions so familiar in the Western economies were present. Notably absent were corporte bonds, commercial paper, large insurance companies, mutual funds, investment trusts, leasing, factors, savings and loan companies, and a true auction market for common stock and government bonds.

The Bazaar was the traditional source of commercial credit in Iran and still provided between 30% - 45% of the total credits extended to the private sector. While most of this lending was to small tradesmen and rural workshops, there were a number of important money-lenders who, operating from small offices cluttered with carpets, granted loans of up to one million dollars. Interest rates available in the Bazaar were high and ranged from 12% - 18% for first class signatures to over 40% for third class signatures. Since many of the borrowers were traders who requried funds for only a few weeks, such rates were not always the burden they appeared to be.

Iran's twenty-six commercial banks with 6,531 branches provided most of the private sector's credits and the preponderance of short-term finance to the modern industries. During 1967/8 - 1972/3 savings and time deposits in commercial banks grew at 20.4% per year (chiefly spurred by a 15.5% growth rate in the money supply), permitting a rapid expansion of credit.

Commercial bank loans were generally short-term and were granted either by discounting receivables and promissory notes or on collateral of at least twice the loan amount. Interest rates were nominally 12% in 1973 but, after adding fees and charges, the average effective rate was almost 15%. The Central Bank had continually encouraged commercial banks to engage in medium and long-term financing but few were willing or felt the need to explore this area. Most of the commercial banks lacked staff capable of making lending decisions based on balance sheets and profit projections and bank managers had little interest in competing with the low rates offered by the specialized development banks.

Domestic long-term loans to industry were available only from IMDBI and the Industrial Credit Bank (ICB). ICB was government owned and had a rate of loan approval that was 28% of IMDBI's in 1972/3. It specialized in term loans to medium sized firms and providing working capital loans. Its lending policies were strongly influenced by Plan Organization, which supplied all of its funds, and which often used the bank to support projects which private banks would consider too risky. For example, ICB had recently begun a program of using the branch networks of commercial banks to extend low interest working capital loans to small retailers and workshops throughout the country. All risk was borne by ICB.

ICB had adopted IMDBI's policy of promoting new projects on its own. While its technical staff was less experienced, it compensated for this by working within more traditional industries to achieve regional development rather than industrial innovation. Like IMDBI, it took equity positions in its promoted projects. Unlike IMDBI, it did not have a wide reputation for creating and helping to sustain joint ventures with foreign corporations.

The major gaps in Iranian capital markets were between the accumulation of private savings and the economy's need for long-term credits and fresh equity funds. While the commercial banks had been successful in mobilizing private savings, virtually none of these funds were used to supply long-term credits and the specialized development banks depended upon the government and foreign sources for their loanable funds. Similarly, there was little opportunity for most Iranians to purchase equity securities and participate in the ownership of industry.

When IMDBI was created one of its chartered purposes was to stimulate Iranian capital markets, and in particular the markets for equity securities. IMDBI had immediately staged Iran's first public offering of common stock in 1959. That offering had only been successful after a prominant industrialist agreed to informally underwrite the issue.

IMDBI further undertook to stimulate equity ownership by reserving a portion of the capital of a number of its promoted projects for subscription by the public. Then, in 1968, it succeeded in using its influence to have the Terhan Stock Exchange established.

Because most of the shares of companies registered on the exchange were closely held, it was usually not possible to purchase shares. Most trades of shares that took palce were privately arranged and were made through the exchange only to take advantage of tax benefits. What dynamism the exchange did have was largely due to trading in government bonds.

It was generally expected that the Tehran Stock Exchange would have a dramatic increase in activity in the mid 1970's as the government's "Wider Share Ownership Program" went into effect. In 1972 the Shah had announced that all large companies (defined as having sales over Rls. 250 million or capital over Rls. 100 million) would be asked to sell approximately 30% of the company's stock to workers and private investors. In the first phase of the program 80 companies would distribute their shares over three years in three steps of 10% each. Subsequently, 300 other firms would distribute sharesby 1979.

New Competition. In the summer of 1973 a new private long-term industrial finance bank appeared on the Iranian scene: the Development and Investment Bank of Iran (DIBI). At the time of the case this new bank had not yet begun its lending program.

DIBI had been organized by a prominant Iranian with experience in government and most of its initial share capital of Rls. 2,100 million was held by a group of influencial industrialists and a group of foreign banks. Its promoters claimed that IMDBI had held a virtual monopoly position for too long and competition in industrial finance was needed. Like IMDBI, DIBI planned to make equity investments, promote projects, and develop infrastructure. Negotiations were under way with the World Bank for an initial foreign exchange loan.

IMDBI's management was not concerned about competition from DIBI and IMDBI's official position was that the field of long-term lending was large enough for several banks.

Lending Terms

IMDBI's lending rate was the same for all borrowers and had been raised from 9% to 10% in the summer of 1973. The last increase in its lending rate had occurred in 1970 when rates were increased from 8% to 9%. IMDBI was not legally constrained to set its lending rates at any particular level. Nevertheless, management sought to maintian amicable relations with the Central Bank and generally followed its advice on rates.

The duration of IMDBI's loans varied with the needs of the business. Most of the bank's loans had maturities of 7 to 10 years with the average being 7.5 years. In recent years the average duration of loans signed had moved up and was approaching 9 years.

IMDBI loans were almost always secured by a mortgage on all of the firm's assets plus the personal gurantees of all individuals owning more than 10% of the company's capital stock. While the requirement of personal loan guarantees effectively destroyed the limited liability protection afforded by the corporate form, management believed that the policy was an important and needed check on the misuse of funds.

IMDBI determined the amount of funds granted to a loan applicant by performing a financial appraisal of the project to be financed. Staff analysts calculated pro-forma income statements, balance sheets, and cash flow schedules for each loan considered. In general, the technique was to estimate the total fixed and current asset levels required and then to subtract from this figure the total equity available, estimated trade credit available, and commercial bank loans obtainable. The resulting amount was taken to be the firm's need for long-term debt and usually contained a working capital component. While the bank did not employ strict rules in this area, it preferred a loan coverage by fixed assets of at least 1.5, although it sometimes allowed a lower coverage if it was expected to improve to the 1.5 level soon after operations began. In addition to looking at fixed asset coverage, the bank normally preferred the borrower's debt-to-equity ratio to be below 1.5 and checks were made to make sure that projected cash flows were sufficient to service the loan.

The only banks in Iran that performed loan analyses of this type were the Industrial Credit Bank and IMDBI. Most other banks simply discounted receivables or depended upon the individuals credit reputation to secure the loan. IMDBI had experienced initial difficulty in getting businessmen to provide the information necessary to perform loan analyses but its virtual monopoly in large long-term lending had proved to be a powerful source of persuasion.

Business Activities

From its inception through the end of 1972/3 IMDBI had signed 484 separate loans totaling Rls. 30.6 billion ($444 million) and committed itself to 112 share participations totaling Rls. 3.1 billion ($45 million). Because it was Iran's largest and most influencial long-term financing institution the level and pattern of its activities both reflected and shaped the progress of Iranian industry.

Business Mix. By the end of 1972/3 IMDBI had loans outstanding or committed to 255 separate firms. Seventy of these companies were joint ventures involving foreign corporations and the remaining 185 were domestically owned. While the particulars of the bank's relationship with each of its client firms varied from case to case, three broad categories of involvement existed:

1. Assisted Firms -- companies in this category had received loans from IMDBI but none of their share capital was held by the bank.

2. Participations -- IMDBI held portions of the share capital of firms in this category as well as having granted them loans (an IMDBI investment in a company was almost always accompanied by a loan).

3. Promotions -- firms that had originated within IMDBI were known as promotions. Such projects had been planned in detail by IMDBI before the question of ultimate ownership had been completely resolved. IMDBI always held a portion of the share capital of its promotions as well as granting them loans.

When each of these three categories of "involvement" is further divided into domestically owned firms and joint ventures with foreign companies, six separate groups may be identified. Table 1 shows breakdowns of the bank's loan and investment portfolios among these six groups at the end of 1972/3.

Assists. Companies that simply borrowed from IMDBI formed the great bulk of its clients and constituted the "bread and butter" portion of its business. It was unusual for clients in this group to require more than minimal technical or legal help from the bank. The great majority of the domestic "assists" involved loans for the expansion of facilities rather than the formation of new companies.

Responding to a query as to the reasons why many companies did not come to IMDBI for long-term finance, Mr. I. Azarm, the deputy managing director, replied:

> Of course, some firms prefer to work with the Industrial Credit Bank or are too small to qualify for long-term loans. The remainder fall into two camps: the "chickens" and the "lions." The "chickens" are traditionally oriented businessmen who are simply afraid of debt, especially long-term debt. They stretch their own funds to the limit and rely heavily on trade credit and rolling over short-term commercial bank loans.
>
> The "lions" are the firms, usually owned by wealthy families, that have become strong enough to go abroad directly for funds, generally in the form of supplier credits. They avoid dealing with us because we require disclosure of financial statements and personal loan guarantees. The recent rise in Eurodollar rates has had the interesting effect of driving some of these people to IMDBI for financing.

Participations and Joint Ventures. As can be seen from Table 1 IMDBI loans to joint-ventures were usually accompanied by direct equity investments. IMDBI's involvement in such projects typically began when a local entrepreneur approached the bank with a partially completed plan for a new business that requried collaboration with a foreign firm. If the bank saw merit in the project, it rendered whatever technical, legal, economic research, and financial analysis services were required to complete the feasibility study and implement the project. If necessary, IMDBI helped the

Table 1

THE INDUSTIRAL AND MINING DEVELOPMENT BANK OF IRAN

Analysis of Business Mix

Breakdown of Number of Signed Loans by the end of 1972/3:

	Assists	Participations	Promotions	Total
Domestic	362	13	17	392
Joint Ventures	49	19	29	97
Total	411	32	46	489

Breakdown of Loan 1972/3 Portfolio:

	Assists	Participations	Promotions	Total
Domestic	38.3%	6.8%	9.4%	54.5%
Joint Ventures	11.4%	9.2%	24.9%	45.5%
Total	49.7%	16.0%	34.3%	100.0%

Breakdown of 1972/3 Foreign Exchange Loan Portfolio:

	Assists	Participations	Promotions	Total
Domestic	41.8%	7.3%	5.9%	55.0%
Joint Ventures	5.3%	12.9%	26.9%	45.0%
Total	47.0%	20.1%	32.8%	100.0%

Breakdown of 1972/3 IMDBI Equity Investment Portfolio:

	Assists	Participations	Promotions	Total
Domestic	---	32.2%	9.0%	41.2%
Joint Ventures	---	19.9%	38.9%	58.8%
Total	---	52.1%	47.9%	100.0%

Breakdown of 1972/3 Plan Organization Equity Fund Portfolio:

	Assists	Participations	Promotions	Total
Domestic	---	22.8%	13.5%	36.3%
Joint Ventures	---	14.5%	49.3%	63.7%
Total	---	37.3%	62.7%	100.0%

local entrepreneur locate a suitable foreign partner.

Foreign firms that invested in Iran received industrial permits and were allowed to repatriate their investment and their share of profits only if a majority of the local comapny's stock was held by Iranians. Since many foreign firms were unenthusiastic about handing over control of the enterprise to the local investor group, IMDBI was often asked to participate in the project as the balancing, or "swing", investor. The ownership pattern in such cases was roughly as follows: local entrepreneur = 40%; foreign firm = 40%; IMDBI = 20%.

IMDBI's balancing position gave it effective control over the enterprise whenever the other partners disagreed. In addition to helping the foreign firm face the fact of Iranian control, this situation was also seen as advantageous by the local entrepreneur. Iranian businessmen frequently lacked confidence in both their ability to deal with foreign firms and the foreign firm's motivation for entering into the joint venture agreement. Foreign joint venture partners were often suspected of taking their profits through the supply of raw materials at inflated prices and few local entrepreneurs had the competence to assess the quality or appropriateness of the machinery and plans supplied to them. By bringing IMDBI into the venture, they hoped to obtain a competent and knowledgable third partner who would act to protect their interests.

IMDBI's management considered its reputation as a reliable third partner in joint ventures as one of its most valuable intangible assets. The increased level of foreign investment it had produced, they argued, was extremely helpful to Iran and the experience gained by local managers from working with foreign firms was a vital by-product.

Although the technologies, finance, and products available from foreign firms were viewed favorably, IMDBI did not have a high opinion of some of the foreign managers who came to manage joint ventures in Iran. Most firms, they felt, were unwilling to send their best men to Iran and, even if they did, foreign managers found it difficult to function in Iran. Used to relying on a large and capable staff, they often failed to adapt to an environment in which the general manager had to immerse himself in detail, personally check-out the implementation of each decision, and spend up to one-half of his time in dealing with government departments. Mr. Kheradjou was convinced that the responsibility for general management should be in Iranian hands whenever possible. The key problem, as he saw it, was the development of sufficient local general management talent to keep pace with industrial growth.

Promotions. IMDBI was best known both in Iran and among the World Bank Group of development finance companies for its project promotion policies. While IMDBI had 19 completed promotions to its credit by the end of 1972/3, this figure severely understated the extent of the bank's promotional activity as it refered only to "true" promotions -- projects

that were wholly initiated within IMDBI. In reality, about one-half of the firms grouped under "participations" received fully as much aid from IMDBI as did the "true" promotions.

IMDBI was the first development finance caompany associated with the World Bank to adopt aggressive promotion policies and, Mr. Kheradjou reported, at first received little encouragement from the World Bank. "They (the World Bank) were worried," he added, "about our promotions. When we began it was unclear that sufficiently talented managers or entrepreneurs could be found to take over the management of such projects." By the end of 1972, IMDBI's success at promoting projects had dissipated such worries and Mr. William Diamond, the World Bank's leading authority on development banking, was strongly in favor of promotions, complaining the "Some of the DFC's, but regrettably very few, have played an entrepreneurial role by promoting new enterprises, such as IMDBI (Iran) and BNDE (Morocco)."

IMDBI's promotional efforts had been accellerating in recent years and the amount of time and energy devoted to promotional work was much larger than the number of completed promotions suggested. Management estimated that the bank's four top level executives spent about 80% of their time on promotional activities.

Typically, a promoted project required six months to one year of study and another one or two years for its implementation. This lead-time plus accellerated efforts had generated a sizable inventory of projects in process by the end of 1972/3: out of 19 projects still in process, 8 were still being studied and 11 were awaiting final approval. Management forecast that over the next five years between one-half and two-thirds of the bank's loan and equity investments would be in promoted projects and heavily assisted "participations."

Exhibit 8 lists IMDBI's "true" promotions as of October 1, 1973 and indicates IMDBI's investment in each. The projects promoted by the bank tended to be large and concentrated in the newer capital intensive industires. As one World Bank staff analyst put it, "The new industries in Iran are dominated by projects conceived, formulated, and financed by IMDBI."

As a rule, the prior approval of the Ministry of Economy, in the form of an industrial license, was required for the construction and operation of any new plant or major expansion. To obtain this license the entrepreneur had to demonstrate the technical feasibility of his project, its contribution to economic development and the balance of trade, and the project as a whole had to meet Ministry guidelines on size, competition in the industry, and location. By the late 1960's IMDBI's demonstrated competence and integrity in project appraisal work led to an arrangement with the Ministry of Economy for the granting to IMDBI of "licenses in principle." These licenses enabled the bank to undertake the study of a project in depth and the selection of a foreign collaborator and local investor with full confidence that the completed project would

be licensed. This delegation of licensing power to IMDBI was one of the most important reasons for the growth and success of the bank's promotions program.

An example that illustrates the way IMDBI went about creating new businesses was the "Piston Project." In 1965 an expert from the United Nations studied the feasibility of starting a plant in Iran to manufacture pistons (auto and truck) and six other engine components. The report was presented to the Ministry of Economy which, in turn, gave a license in principle to IMDBI and requested further study and the selection of suitable investors.

IMDBI contacted a British manufacturer of engine parts and asked for help in setting up the project. Studies and negotiations continued for over two years before the British company decided to withdraw from the project due to internal financial problems.

Next, the bank contacted Mahle of Germany, a well known piston manufacturer. Mahle informed the bank that it was not in a position to help with financial or economic studies but could provide technical advice and information. Further negotiations established that the company's expertise did not extend beyond bare pistons. IMDBI decided to drop the other six components from the project and work with Mahle.

Using technical data supplied by Mahle, the bank's staff designed a venture that used domestically produced aluminium as the basic raw material and had a two phase expansion plan: first pistons for passenger cars (new and replacement) would be made, then pistons for commercial vehicles would be added to the line.

The finished report was submitted to the Ministry of Economy for fianl licensing in the spring of 1973 and construction began in the Fall. The total project cost was estimated to be $8.6 million. IMDBI owned one-third fo the capital stock, Mahle had one-third, and a local businessman was brought in for the remaining one-third.

In the bank's first few promotions it had reserved a portion of the capital stock for distribution to the public. In the Neishabour Sugar Co., for example, IMDBI sold a portion of the capital stock to local farmers and other small investors. However, as the projects undertaken grew in size and complexity this policy was gradually dropped. An attempt to publicly distribute a portion of the stock of a compressor manufacturing plant had met with only limited demand. "If the project is simple and easy to understand it is not hard to bring in the small investor," Mr. Azarm explained, "but most of our recent projects require sophisticated foreign partners and are for the manufacture of industrial goods."

IMDBI's change in policy had not gone unnoticed. An editorial dated September 9, 1973 in the Kayhan International, a local newspaper,

included the following comment on IMDBI's shift in policy:

> Its policy was to participate in the equity capital of new ventures to ensure sound management and public support. The ultimate aim was to sell the bank's stock to ordinary people to widen the ownership base of industry and raise cash resources for launching new ventures. But so far the IMDBI had refrained from selling its stock in well established industries to the ordinary people.

Since the inception of IMDBI's investment program it had sold Rls. 333 million worth of its equity investments, or about 10% of its gross capital stock holdings. These sales, however, had all been to the other major partners in the venture rather then to the general public. Management explained that the major participants in its promotions and "participations" frequently insisted on the right of first refusal should IMDBI choose to sell its holdings, and that most of the banks investment portfolio was subject to such provisions.

While Mr. Kheradjou agreed wholeheartedly with the concept of wider ownership of promoted projects, he noted that, in addition to the right of first refusal problem, many of the bank's promotions were still in their "teething" stage and were not as yet proven solid businesses. "Iranian investors", he said, "expect an equity investment to have the security and stable payment history of a bond. A promoted project in a difficult technical area might take years to become really profitable and shares in such ventures have a hard time competing with tax-free government bonds yielding 10%. Given the level of public understanding about these matters, it would be a swindle to bring the ordinary man into a highly technical promotion."

Administration

IMDBI's primary organizational units were the Project Department, the promotions Department, the Loan Supervision Department, and the Management Services Department. Exhibit 9 shows the bank's organizational structure as of the end of 1972/3 and the number of staff members in each of the key departments.

One of IMDBI's most persistant organizational problems was its lean middle management group. As a consequence, top management was frequently overloaded with work and decision-making authority was highly concentrated. In part this was due to the high proportion of inexperienced staff members and, in part, it was a natural result of senior management's preference of a centralized operating format. As Mr. Kheradjou noted:

> Our average staff professional is 31 years old and has only been with the bank for 18 months. Now, development banking is a peculiar sort of business -- it requires experience, guts, curiosity

and a sense of responsibility to others. As individual staff members show personal progress in these directions we give them more responsibility, but many of staff members are not making that kind of progress. This being the case, we simply cannot afford to delegate significant authority in vital decision-making areas.

Another factor that influences our operating style is the stage of Iran's development. I find it interesting that Western concepts of decentralization and "team management" only came into use when the major growth phase in the West was complete; before that time organizations were led by single individuals -- people looked to a particular man rather than an "office" or an organization chart for leadership. In Iran we are still in that early phase and, whether it is me or someone else, the bank and its clients need to have someone at the top whose authority is indisputable.

While the bank staff's inexperience was chiefly due to its rapid expansion, turnover, especially at the senior level, was also a contributary factor. By the time a staff member had been with IMDBI several years, and particularly if he had moved up in responsibility, his knowledge and experience were in heavy demand by industrialists and government Ministries. While the bank's salary and benefits scale was considered competitive with other institutions doing similar kinds of work, it could not compete with industrialists who offered equity, line positions, and high salaries. "The people who stay here and move into management positions," Mr. Azarm noted, "are those who discover within themselves an emotional and professional committment to development banking."

Project Appraisal. When a loan applciation was received by the bank one of the senior officers reviewed the proposed project and made an initial decision as to whether or not it met IMDBI's overall lending guidelines. About 5% of loan applications were rejected at this stage.

If it passed the initial screening, the loan application went to the Technical Committee, chaired by Mr. Azarm. This committee discussed the feasibility of the proposed project and made a judgement as to the critical questions that remained to be answered. Most often these questions related to the feasibility of the proposed plant site, production process or equipment plan. Less often the critical question was judged to be economic in nature -- the existance of sufficient demand to justify the project or the marketability of the product. Based on the results of this discussion, the manager of the Projects Department assigned either a technical or an economic staff analyst to prepare an initial report that addressed the "critical question."

Once this initial report was complete (or if the analyst found that the project was not well enough defined to create a report) the Loans Committee (the managing director, deputy managing director, and managers of the Projects, Promotions and Loan Supervision departments) discussed the status of the loan application and made a decision as to

whether to reject it or proceed with the evaluation of the project. One of the bank's more experienced project analysts explained the nature of this review as follows:

> Given Iran's booming economy and government protection of new industry, about the only ways in which a project can fail are technical infeasibility and incompetent management. My job is to prepare a report that advises the Loans Committee as to the technical feasibility of the project. Checking the technical aspects of a project is not easy, but we only take it so far. If the project is very complex we simply have to depend on the judgements of the foreign partner or a consultant.
>
> A part of the process that is very important, however, is evaluating the client's ability to implement and manage the project. While this is not made explicit, it is crucial. In order to write a decent technical report you have to spend a lot of time and effort in talking to management and in translating their ideas and judgements into specific assumptions and numerical projections. If management knows what it is talking about it is usually not hard to get the information you need to write the report. If, however, management has no real feel for the business, hasn't thought-out its plans, or doesn't understand the implications of various ways of going about the project, it is next to impossible to write a good report. So, whether or not the analyst can write a good report is really a measure of the quality of management. That is why a good technical report almost always results in an approved loan.

The review of the technical or economic report by the Loans Committee was the critical stage in the loan appraisal process -- about 30% of the projects studied were rejected at this stage. Once the Loans Committee decided to move on the preparation of a final report the loan's approval by the Executive Committee was almost guranteed.

During 1972/3 the Executive Committee approved 66 loans on the basis of evaluationsperformed by the Projects Department. Managment estimated that 60% of the projects analysed were expansion loans to companies that were already clients of the bank. In addition, it was estimated th t in only about 10% of the projects analysed was in-depth research or the evaluation of alternative ways of doing the project performed.

While much of the Projects Department's work was relatively routine, it did possess considerable loverage over new projects suggested by the smaller entrepreneur. An example was a request by two partners who had a workshop producing expensive hand-made furniture for a loan to finance the purchase of new machinery. Mr. Kheradjou suggested that Iran's need was for mass produced low-price furniture and that a loan might be forthcoming for such a purpose. The Projects Department analyst assigned to the project worked with the partners for six months, gradually convincing them of the viability of a mass produced furniture business and putting them in touch with a foreign firm which could supply the necessary "know-how".

After the loan was finally approved the analyst commented: "Deep inside those men still want to be craftmsen but very soon they will find that they have become industrialists. This kind of aggressiveness is sort of an IMDBI trademark."

Promotions. Promotional work was performed by all of IMDBI's senior managers and coordinated by Mr. Taie, who reported to the deputy managing director. The "Promotions Department" had only a small permanent staff and drew upon the staff of the Projects Department as was requested. Managment planned to significantly expand the Promotion Departments' permanent staff during the coming year. As in the Projects Department, promotions work centered about the preparation of a final feasibility report. The amount of research and the sophistication of the analyses performed were, however, considerably higher.

Loan Supervision. Mr. M. B. Baradar headed the Loan Supervision Department and was responsible for keeping track of projects in the construction phase and for loan collections. IMDBI's growing portfolio had forced Mr. Baradar to adopt a system of classifying company's by their repayment status in order to concentrate attention where it was most needed. His system for dealing with firms in which the bank had not made an equity investment was as follows:

1. Good -- (28% of clients) -- These were strong firms that never missed a payment. IMDBI requested income statements and balance sheets annually from these firms and obtained about a 65% response rate.

2. Average -- (40% of clients) -- These companies made occasional late payments and had not as yet completely proven their business strength. Staff members from the Loan Supervision Department visited each of these firms once a year and wrote a report summarizing their findings.

3. Problem -- (7% of clients) -- Such firms had grave business problems and their loans were in default. These companies tended to be smaller than those in the other categories.

4. Under construction -- (25% of clients) -- Mr. Baradar sent a questionaire each quarter to these firms in order to check on their progress.

Management Services Department. The Management Services Department, also headed by Mr. Baradar, performed the equivalent of a loan supervision function for companies in which IMDBI had made equity investments. IMDBI's management believed that their responsibility was much greater in these firms and that outsiders would blame IMDBI for problems arising in such companies even if the bank holding was relatively small.

Each company in the bank's equity portfolio had one of IMDBI's senior managers on its board and one of the six members of the Management Department staff assigned to it in the role of analyst, loan supervisor, and management consultant.

The Management Department's responsibilities were heaviest in dealing with IMDBI promotions. "In this area," Mr. Kheradjou said, "I want the boys in the Management Department to act as stand-in general managers. They must continually evaluate the company as a whole -- its strategy, its people, and its methods. When problems arise I want them to be ready with specific recommendations and step into the fray if necessary."

The Management Department was seen as an elite group within the bank and many staff members hoped to be eventually assigned to it.

Finance

Up until 1972, IMDBI had relied chiefly upon the World Bank for loanable foreign currency funds and upon the Iranian government and its shareholders for its rial funds. Within the last year rising institutional lending rates in Iran and the bank's growing financial strength had allowed it to begin to tap international markets for its foreign currency needs. While access to world Eurodollar markets freed IMDBI from complete dependence onthe World Bank, it also exposed the bank for the first time to significant interest rate fluctuation risks. In addition, since IMDBI remained dependent upon the government and its shareholders for rial funds, it was faced with a potentially serious imbalance between foreign currency and rial funds availability.

During the 1960's, IMDBI's lending program required about equal amounts of rials and foreign currencies. As the Fourth Plan drew to a close in the early 1970's, however, foreign currency needs began to outpace rial needs and IMDBI became more reliant on World Bank loans. By the end of 1972/3, foreign currency disbursements were running 61% above rial disbursements and management expected about a three-to-one ratio between foreign currency and local currency needs during the next five years.

The growing need for foreign funds together with World Bank pressure to broaden its resource base caused IMDBI's management to enter the European and Japanese capital markets in 1972 and 1973. Within a period of 18 months IMDBI was able to raise over $200 million through the negotiation of seven separate loan agreements plus the sale of its own bonds. Table 2 summarizes the funds sources tapped by IMDBI during this period.

The funds IMDBI obtained in Germany and Japan differed from those it had received from the World Bank in several respects. While the World Bank loans had been essentially lines of credit that were drawn down on a project-by-project basis, the Eurodollar and Deutchmark funds were not tied to specific projects. While the World Bank had insisted that the foreign exchange risk associated with its foreign currency loans be passed on the bank's clients, IMDBI's management was free to either pass on or absorb the exchange risk associated with its Eurodollar and Deutchmark loans. (So far, management had followed its past practice of passing on the exchange risk to its clients.) Finally, the interest rates charged on World Bank loans had generally been below world rates and had changed

Table 2

THE INDUSTRIAL AND MINING DEVELOPMENT BANK OF IRAN

Recent Borrowings in Europe and Japan

Date	Source	Amount	Terms
3/24/72	Syndicate of European banks led by Deutsche Bank Societe Generale	$20 million	Interbank rate plus a surcharge[1]
7/14/72	Federal Republic of Germany and Kreditanstalt	DM 51 million ($18 million)	6.625%
7/14/72	Bank of Tokyo, Ltd.	$20 million	Not available
	Industrial Bank of Japan	$25 million	Interbank rate plus a surcharge
1/9/73	Syndicate of European banks led by Deutsche Bank	$35 million	Interbank rate plus a surcharge
3/5/73	Deutsche Bank	$15 million	Interbank rate plus a surcharge
5/1/73	Issue of IMDBI bonds, underwritten by Deutsche Bank	DM 60 million ($21 million)	7-1/2%, 12 year bonds in Deutschmark
6/11/73	Chase Manhatten Bank	$10 million	Interbank rate plus a surcharge
8/29/73	Sumitomo Bank as agent and the Industrial Bank of Japan as manager	$50 million	Interbank rate plus a surcharge

[1] Surcharge rates varied between 3/4% and 1%

Source: Company records

ICMS
BP 10

quite gradually over time; the bulk of the Eurodollar funds, by contrast had been borrowed at floating rates -- the interest charges varied continuously with the short-term Eurodollar interbank rate.

By late 1973, IMDBI had fully drawn down all of its Eurodollar and Deutchmark loans except for $15 million of the final $50 million loan from the Sumitomo Bank of Japan and the Industrial Bank of Japan. This left $180 million that had been borrowed at floating rates. At the time IMDBI had negotiated most of these loans the interbank rate had been about 7%; by late 1973 it had moved to about 11% after peaking at about 12%. Management realized that the bank was losing money on the floating loans (as its lending rate was fixed at 10%) but believedthat Eurodollar rates would decline in the near furture. Management emphasized that access to Eurodollar funds was absolutely necessary if the bank's expansion plans were to be realized; during the next five years IMDBI was expected to require about $700 million in foreign currency of which about one-half would have to be raised from sources other than the World Bank.

IMDBI's increasing foreign currency lending program also had an important impact on the bank's total cost of funds. While rial funds were generally available at subsidized rates, the effect of increased foreign currency lending and the gradual rise in world interest rates was a slow but steady decline in the bank's gross spread (Exhibit 4). While the diminishing spread between financial income and expense had been compensated for by constant reductions in the overhead rate and increased leverage, it was clear that these trends could not continue indefinately. Management hoped that a more mature equity portfolio and the recent increase in IMDBI's lending rate from 9% to 10% would stabilize the situation.

Rial Funds Sources. Rial funds received from the Iranian government were of three types: direct loans from the Plan Organization, managed loan funds, and Plan Organization Equity Funds. The direct loans from Plan Organization increased yearly; as a rule this source of funds was kept roughly equal to IMDBI's equity. The interest rates charged varied between 5% and 6% and repayment of these loans would begin in 1983.

The "managed funds" constituted IMDBI's most important source of rial funds and had increased the bank's available long-term capital by about 25% by the end of 1972/3. Three-quarters of these funds were loan portfolios transferred from ICB and Bank Melli (Iran's largest commercial bank) to IMDBI and a special loan portfolio created by Plan Oraganization. IMDBI bore no default risk on the managed loans and received a portion of the interest paid as a fee.

The remaining one-quarter of the managed funds was the Plan Organization Equity Fund -- a special block of rial funds set aside to be used as part of the equity capital of IMDBI promoted and assisted projects. IMDBI had irrevocable power to vote the shares bought with these funds and was to repay them if and when the shares were sold.

Since IMDBI's policy was to restrict its total equity investment portfolio to the level of its own equity and it could not commit more than 15% of its own equity as an investment in a single firm, the Plan Organization Equity Fund was extremely useful. Through it IMDBI could promote and assist larger projects than would otherwise be possible.

IMDBI's equity (share capital, reserves and government quasi-equity advance) was about 10% of its long-term capital (excluding the managed funds) at the end of 1972/3. The bank's debt-to-equity ratio had been constantly rising since its inception but managment felt it would stabilize at about 7-to-1. While not an important source of loan funds, IMDBI's equity was earmarked for share investment in projects and its level was therefore of critical interest to management.

In accord with Iranian practice IMDBI paid most of its earning out as dividends; during the last five years 66% of net profits had been paid out giving an 12% yield on par share capital. In order to increase its share capital level IMDBI had issued new shares in 1968 (a 100% increase) in 1971 (a 56% increase), and was in the process of issuing new shares again in 1973 (a 100% increase). Since these new issues were accomplished be giving pre-emptive rights to existing shareholders, the net result was equivalent to retaining all profits (see Exhibit 10).

IMDBI's stock was traded on the Tehran Stock Exchange and recent prices had been about 45% above par value.

New Rial Sources. While part of the projected growth in disbursements of foreign currency loans relative to rial loans was due to plans for major capital equipment importation during the Fifth Plan, it also reflected a management decision to avoid lending to projects with heavy rial costs. This decision was in response to difficulties in expanding the sources of rial funds available to the bank. In 1970, for example, the rate of receipt of Plan Organization loan funds was lower than expected and IMDBI was forced to build up a large overdraft with the Central Bank.

Although a number of alternative sources of rial funds had been suggested by the World Bank and IMDBI staff members, a major problem was associated with each:

1. A number of development finance comapnies in other countries had raised local funds through the issue of bonds. IMDBI could legally do this but the government had all but eliminated this option by offering its own tax-free bonds yielding about 10% per year. It had been suggested that the government might permit IMDBI to also issue tax-free bonds but even that privilege would be of little help as long as the bank's lending rate remained at the 10% level.

2. IMDBI could tap private savings by offering time deposits. In 1973 commercial banks were offering time deposit services to large customers and paying 9.5% tax free on deposits with maturities of over three years. (IMDBI could not legally offer savings account or sight deposit services.) Management had thus far shied away from this plan because it did not want to antagonize the major commercial banks. In

addition, Central Bank reserves requirements would have resulted in a cost of funds from time deposits of about 11% in 1973.

3. IMDBI could raise rials be selling off (or discounting) part of its loan portfolio to large commercial banks. Conversely, IMDBI might encourage commercial banks to provide long term loans to its projects by supplying gurantees. In both cases, the gap between the commercial bank and IMDBI lending rates had prevented serious consideration of this alternative.

4. The bank could begin to liquidate its mature equity investments. While management did plan to raise some funds in this manner, they did not feel it could become a major source.

Looking to the Future

Commenting on the future development of IMDBI, Mr. Kherajou said:

> When I first took over the management of IMDBI I dodn't have a definite concept of how the bank would develop. I had only three guidelines: earn a return on the shareholder's investment, contribute to the development of Iran, and keep the bank open to new ideas and opportunities. Each day I tried to apply those guidelines to the situations that arose. As I look back on what we have acheived I am convinced that if I had tried to formulate a more detailed plan it would have acted like a straight-jacket -- it would have kept us from moving in new directions.
>
> Today I still follow those guidelines and we still don't have a detailed business plan. Neither I nor anyone else knows just what IMDBI will look like in five or ten years time. Some of the directions we move in may result in important new institutions and new business activities for the bank; others may prove barren and unproductive. For example, I want to establish an "economic intelligence" unit within IMDBI to scan for new investment opportunities -- What will it come up with? We want to stimulate industrial research -- what sort of role can IMDBI play in this area? Growing foreign exchange reserves will soon permit Iran to begin to invest abroad -- what role can IMDBI play in such activities? Comprehensive rural development programs are being formulated and implemented -- IMDBI can help. Given the pace of progress in Iran we really have no choice but to move forward on all fronts at once.
>
> One of the reasons it is so hard to see the future clearly is that a development bank is a catalyst: it is an organization that is committed to creating and changing other organizations. Once we are successful in a given area that very success begins to take the initiative out of our hands. Once the private sector learns from us how do do certain things there is less reason for us to press and lead in that area. As this happens we have to shift our attention to new activities -- activities that others are unwilling or unable to undertake. We will always be working on the frontier.

Exhibit 1

THE INDUSTRIAL AND MINING DEVELOPMENT BANK OF IRAN (A)

Balance Sheets 1964-1973
(in millions of rials)

	Year Ended March 20,									
	1964	1965	1966	1967	1968	1969	1970	1971	1972	1973
ASSETS										
Cash, deposits and securities	263	181	205	236	172	438	126	85	183	1,862
Receivables and prepaid expenses	47	55	145	134	260	319	568	604	791	1,088
Total current assets	310	236	350	310	432	757	694	690	974	2,950
Rial loans (own funds)	941	1,393	1,543	1,688	2,100	2,872	3,106	3,529	4,204	4,777
Rial Loans (managed funds)[2]	1,323	1,381	1,241	1,218	1,239	1,619	1,828	2,371	2,743	3,488
Foreign currency loans[1]	217	263	453	1,059	2,000	2,386	3,266	4,789	7,052	9,631
Net loans outstanding[3]	2,481	3,037	3,237	3,965	5,339	6,877	8,200	10,689	13,999	17,895
Investments at cost (own funds)	112	155	222	306	474	690	959	1,297	1,748	2,379
Investments at cost (managed funds)[2]	0	20	202	291	487	508	838	958	1,144	1,202
Total investments[3]	112	175	423	598	961	1,198	1,797	2,255	2,892	3,581
Fixed assets net of depreciation	0	17	26	44	62	66	62	56	49	56
Total assets	2,903	3,464	4,036	4,976	6,794	8,898	10753	13,691	17,915	24,482
LIABILITIES AND EQUITY										
Payables and provisions	116	146	125	153	250	302	491	459	675	1,586
Bank overdrafts	0	115	171	121	370	48	342	1,090	856	467
Total current liabilities	116	261	296	279	620	350	833	1,549	1,531	2,053
Plan Organization loan	70	350	550	550	550	950	1,400	1,779	2,200	2,500
USAID loan	118	130	205	184	168	151	133	116	95	66
World Bank loan[1]	99	132	243	882	1,751	2,403	3,064	4,531	6,988	4,825
Foreign bank loans[1]	-	-	-	-	-	-	-	-	-	7,128
Total term loans	287	612	997	1,616	2,469	3,504	4,596	6,426	9,283	14,519
Managed funds[2]	1,440	1,483	1,593	1,899	2,232	3,277	3,505	3,787	4,546	5,226
Gov't. quasi-equity advance	600	600	600	600	600	600	600	600	600	600
Total liabilities	2,442	2,956	3,486	4,389	5,920	7,731	9,534	12,362	15,960	22,398
Share capital	400	400	480	480	720	960	960	960	1,500	1,650
Reserves	61	108	55	91	142	205	257	362	447	425
Surplus	0	0	15	16	12	2	2	7	8	9
Total stockholder's equity	461	508	550	587	874	1,167	1,219	1,329	1,955	2,084
Total liabilities and equity	2,903	3,464	4,036	4,976	6,794	8,898	10,753	13,691	17,915	24,482

SOURCE: IMDBI annual reports

Exhibit 1 (continued)

THE INDUSTRIAL AND MINING DEVELOPMENT BANK OF IRAN (A)
Notes to Balances Sheets

1. Foreign currencies are shown in rial equivalents using the exchange rate in effect at the end of each year. These rates were 75 rials/$US in 1964-1969, 76.5 rials/US in 1970-1972, and 68.85 rials/$US in 1973.

2. IMDBI administered loan and investment funds under agency agreements with various government bodies. IMDBI received a fee for administering these funds and could reinvest the principle amounts collected. The portion of the managed loan funds that was not invested in managed loans was considered to be a loan to IMDBI and a fee was paid for the use of these funds. On March 2, 1973 the amount of the advance to IMDBI's general funds was Rls. 536 million.

3. Net loans are shown after a provision for losses. This deduction was Rls. 534 million on March 20, 1973 and Rls. 402 million on March 20, 1972.

4. Contingent commitments: On March 20, 1973 IMDBI had a commitment of Rls. 2,536 million for the unutilized portion of signed loans, a commitment for the uncalled portion of partially paid-in equity investments of Rls. 451 million, and had, on behalf of its clients, opened letters of credit and made loan guarantees totaling Rls. 1,728 million.

Exhibit 2

THE INDUSTRIAL AND MINING DEVELOPMENT BANK OF IRAN (A)

Balance Sheet Ratios 1964-1973
(in percent)

	Year Ended March 20,									
	1964	1965	1966	1967	1968	1969	1970	1971	1972	1973
ASSETS										
Cash, deposits, and securities	9.1	5.2	5.1	4.7	2.5	4.9	1.2	0.6	1.0	7.6
Receivables and prepaid expenses	1.6	1.6	3.6	2.7	3.8	3.6	5.3	4.4	4.4	4.4
Total current assets	10.7	6.8	8.7	6.2	6.4	8.5	6.5	5.0	5.4	12.0
Rial loans (own funds)	32.4	40.2	38.2	33.9	30.9	32.3	28.9	25.8	23.5	19.5
Rial loans (managed funds)	45.6	39.9	30.7	24.5	18.2	18.2	17.0	17.3	15.3	14.2
Foreign currency loans	7.5	7.6	11.2	21.3	29.4	26.8	30.0	35.0	39.4	39.3
Net loans out standing	85.5	87.7	80.2	79.7	78.6	77.3	76.3	78.1	78.1	73.1
Investments at cost (own funds)	3.9	4.5	5.5	6.1	7.0	7.8	8.9	9.5	9.8	9.7
Investments at cost (managed funds)	0.0	0.6	5.0	5.8	7.2	5.7	7.8	7.0	6.4	4.9
Total Investments	3.9	5.1	10.5	12.0	14.1	13.5	16.7	16.5	16.1	14.6
Fixed assets net of depreciation	0.0	0.5	0.6	0.9	0.9	0.7	0.6	0.4	0.3	0.2
Total assets	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
LIABILITIES AND EQUITY										
Payables and provisions	4.0	4.2	3.1	3.1	3.7	3.4	4.6	3.4	3.8	6.5
Bank overdrafts	0.0	3.3	4.2	2.4	5.4	0.5	3.2	8.0	4.8	1.9
Total current liabilities	4.0	7.5	7.3	5.5	9.1	3.9	7.7	11.3	8.5	8.4
Plan Organization loan	2.4	10.1	13.6	11.1	8.1	10.7	13.0	13.0	12.3	10.2
USAID loan	4.1	3.8	5.1	3.7	2.5	1.7	1.2	0.8	0.5	0.3
World Bank loan	3.4	3.8	6.0	17.7	25.8	27.0	28.5	33.1	39.0	19.7
Foreign bank loans	-	-	-	-	-	-	-	-	-	29.1
Total term loans	9.9	17.7	24.7	32.5	36.3	39.4	42.7	46.9	51.8	59.3
Managed funds	44.6	42.8	39.5	38.2	32.9	36.8	32.6	27.7	25.4	21.3
Quasi-equity Gov't. advance	20.7	17.3	14.9	12.1	8.8	6.7	5.6	4.4	3.3	2.5
Total liabilities	84.1	85.3	86.4	88.2	87.1	86.9	88.7	90.3	89.1	91.5
Share capital	13.8	11.5	11.9	9.6	10.6	10.8	8.9	7.0	8.4	6.7
Reserves	2.1	3.1	1.4	1.8	2.1	2.3	2.4	2.6	2.5	1.7
Surplus	0.0	0.0	0.4	0.3	0.2	*0.0	*0.0	0.1	*0.0	*0.0
Total stockholder's equity	15.9	14.7	13.6	11.8	12.9	13.1	11.3	9.7	10.9	8.5
Total liabilities and equity	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

SOURCE: Exhibit 1

* Less-that 0.1%

ICMS
BP 10

THE INDUSTRIAL AND MINING DEVELOPMENT BANK OF IRAN (A)

Income Statements 1964-1973
(in millions of rials)

	Year Ended March 20,									
	1964	1965	1966	1967	1968	1969	1970	1971	1972	1973
INCOME										
Interest and fees on loans	94	115	159	207	305	405	517	686	896	1,221
Agency fees	25	25	35	26	26	26	29	43	48	110
Investment income	0	4	6	12	6	20	21	43	123	197
Other income	20	11	10	12	13	17	17	12	28	38
Total income	139	156	210	257	351	468	584	785	1,095	1,567
EXPENSES										
Interest and fees on loans	11	24	40	71	121	187	259	461	585	934
Salaries and wages	42	32	37	43	46	52	54	65	86	106
Operating expense	11	9	12	13	16	17	20	28	26	41
Depreciation	1	2	3	3	9	8	10	10	12	14
Total expense	65	66	91	129	193	264	342	504	709	1,095
GROSS PROFIT	74	90	119	128	159	204	242	280	386	472
Less provisions and taxes	23	13	39	47	50	64	76	94	147	171
NET PROFIT	51	77	80	81	109	140	166	186	239	301
Dividends paid	28	30	38	38	72	96	115	115	180	180
Transferred to reserves and surplus	23	47	42	43	37	44	51	71	59	121
Sales of investments	-	3	3	14	30	34	76	168	59	48
Book value of inv. sold	-	3	3	14	21	32	75	128	34	23
Profit on sale of investments	-	0	0	0	9	2	1	40	25	25

Note: Profits on sale of investments are not considered available for distribution to Shareholders by way of dividends. In 1972/73 Rls. 80 million from this reserve was distributed to Shareholders in the form of bonus shares.

SOURCE: IMDBI annual reports

Exhibit 4

THE INDUSTRIAL AND MINING DEVELOPMENT BANK OF IRAN (A)

Key Operating Statistics 1964-1973

(Ratios in percent)

	Year Ended March 20,									
	1964	1965	1966	1967	1968	1969	1970	1971	1972	1973
Interest & fees income/loans outstanding[1]	8.1	6.9	8.0	7.5	7.4	7.7	8.1	8.2	8.0	8.5
Interest & fees exp./term loans received	3.8	3.9	4.0	4.4	4.9	5.3	5.6	6.2	6.3	6.4
Gross profit/invested capital[2]	5.5	5.2	5.5	4.3	3.6	3.2	3.3	3.2	3.1	2.7
Net profit/invested capital	3.8	4.5	3.7	2.7	2.5	2.2	2.3	2.1	1.9	1.7
Net profit/equity	11.1	15.2	14.6	13.8	12.5	12.0	13.6	14.0	12.2	14.4
Equity/invested capital	34.2	29.5	25.6	19.8	19.6	18.2	16.8	15.1	15.6	11.7
Admin. expense[3]/total expenses	83.1	63.6	55.0	45.0	36.8	28.8	24.3	20.4	17.6	14.6
Admin. exp./total loan approvals	9.3	3.9	3.2	2.9	3.6	2.4	1.8	2.3	1.8	2.0

[1] Excluding the managed funds

[2] Invested Capital = government advance, equity, term loans, and the portion of managed funds transferred to general funds

[3] Administrative Expense = salaries, wages, operating expense, and depreciation.

SOURCE: IMDBI Annual Reports

ICMS
BP 10

Exhibit 5

THE INDUSTRIAL AND MINING DEVELOPMENT BANK OF IRAN (A)

Loan and Investment Activity 1964-1973
(rial amounts in millions)

	Year Ended March 20,									
	1964	1965	1966	1967	1968	1969	1970	1971	1972	1973
No. loans signed	25	33	35	35	38	50	46	54	50	56
No. IMDBI investments committed	4	2	3	5	9	12	9	20	16	21
No. POEF investments committed[1]							6	303	6	4
Loans signed	603	1,042	1,316	1,938	1,819	2,443	3,703	4,498	5,317	6,371
IMDBI investments committed	30	46	118	187	280	250	453	448	529	892
POEF investments committed[1]					285	114	323	83	348	156
Avg. Loan signed	24	32	38	55	48	49	81	83	106	114
Avg. IMDBI investment	8	23	39	37	31	21	50	22	33	43
Avg. POEF investment[1]							54	28	58	39
% Foreign currency in signed loans	20.6	22.5	41.4	64.7	43.9	39.0	59.1	66.8	62.1	73.8

1/ Plan Organization Equity Fund: equity investments made and managed by IMDBI but owned by Plan Organization

SOURCE: IMDBI annual reports.

ICMS
BP 10

Exhibit 6

THE INDUSTRIAL AND MINING DEVELOPMENT BANK OF IRAN

National Income Accounts
(in billions of rials)

	Year Ended on March 20, 1968	1973	Annual Growth Rate
Agriculture	128.4	199.6	9.2%
Oil (Iranian factor income)	71.5	216.5	24.8
Industry and mines	111.8	253.3	17.8
Services	211.5	459.4	16.8
Net factor income from abroad	-5.8	-20.1	28.2
GNP at factor cost	518.4	1,108.7	16.5
Net indirect taxes	38.1	77.7	14.7
GNP at market prices	556.5	1,186.4	16.3
GNP per capita ($U.S.)	$301.6	$552.3	12.9
Inflation index	100.0	123.2	4.3
Private consumption	371.6	680.5	12.9
Government consumption	85.9	249.2	23.7
Total consumption	457.5	929.7	15.2
Private investment	61.7	118.9	14.0
Government investment	57.6	157.7	22.3
Total investment	119.3	286.6	18.3
Balance of payments (current)	-20.3	-19.9	-0.4
GNP at market prices	556.5	1,186.4	16.3
National savings (GNP-consum.)	99.0	256.7	21.0
Savings/GNP ratio	0.178	0.216	

SOURCE: Central Bank of Iran

THE INDUSTRIAL AND MINING DEVELOPMENT BANK OF IRAN

IMDBI Share of Private Industrial Investment in Iran
During the Fifth Plan (1967/8-1972/3)

(in millions of rials)

Sector of Industry	IMDBI Lending		Private Industrial Investment		IMDBI Share (%)
	Amount	% of All Ind. Loans	Amount	% of Private Ind. Invest.	
Food, tea & tobacco processing	1,871	9.03	25,300	16.29	7.40
Textiles and shoes	4,182	20.18	23,800	15.33	17.57
Hides and skins	160	0.77	7,100	4.57	2.25
Non-metallic minerals incl. cement and glass	3,043	14.68	15,000	9.66	20.29
Wood, paper and printing	1,892	9.13	16,700	10.75	11.33
Chemicals incl. tires, petro-chemicals and synthetic fibers	1,421	6.86	18,400	11.85	7.72
Basic metals and mill products	2,405	11.60	27,400	17.64	8.78
Non-electrical machinery	98	0.47	2,600	1.67	3.77
Electrical machinery	2,055	9.92	5,200	3.35	39.52
Automotive and transport	3,546	17.11	13,100	8.44	27.07
Miscellaneous	51	0.25	700	0.45	7.29
TOTAL	20,724	100.00	155,300	100.00	13.34

NOTE: In addition to the above industrial loans, IMDBI made Rls. 1,520 million in non-industrial loans during the Fifth Plan period. In addition, the managed funds it administered increased by Rls. 2,312 million during the period, it made Rls. 1,857 million in equity investments and invested Rls. 652 million in Plan Organization Equity Funds during the period. These additional programs brought its total aid to industry to Rls. 25,545 million during the Fifth Plan, or 16.45% of total private industrial investment in Iran.

Source: Plan Organization and IMDBI Annual Reports

TCMS
RP 10

Exhibit 8

THE INDUSTRIAL AND MINING DEVELOPMENT BANK OF IRAN

Promoted Projects

Year Promoted	Company and Industry	Foreign Partner	IMDBI Share of Equity (%)
1965/66	Neishabour Sugar (beet sugar)	No	22.2
"	Ghazvin Glass (sheet glass)	Yes	22.9
1966/67	Shahd Sugar (beet sugar)	No	10.3
"	Naghshe Jahan Sugar (beet sugar)	No	10.7
1967/8	Iranian Telecommunication (telephone sets and equipment)	Yes	30.0
"	Alborz Industrial Estate (industrial site development)	No	37.5
"	Kerman Cement	No	6.0
"	Arya National Shipping (international shipping)	No	20.6
"	Ahwaz Rolling and Pipe Mill (sheet steel and welded pipe)	No	12.9
"	Pars Paper (paper mill)	No	11.1
1968/69	Tadbir Sanat (civil engineering consultants)	No	40.5
"	Abguineh (sheet, figured, and safety glass)	Yes	20.0
"	Transpic (TV picture tubes)	Yes	15.0
1969/70	Iran Barak (woolen worsteds and ready-made garments)	No	12.0
"	Ball Bearing Iran	Yes	26.0
1970/71	Bicylcle and Motorcycle Iran	Yes	15.6
"	Pars Chinaware	Yes	26.0
"	Dashte Morghab (integrated fruit and veg. canning)	No	22.9
"	Iran Compressor (refrigerator compressors)	Yes	24.8

Promotions expected to take place during 1973/74:

	Iran Piston Mfg. Co.	Yes
	Auto-Electric (vehicle ignition equipment)	Yes
	Iran Cermic (tiles)	Yes
	Meat Co. (dry lot feeding)	Yes

(continued)

Exhibit 8 (continued)

Company and Industry	Foreign Partner
Spinning and Weaving Plant	No
Cement Plant	No
Wall Tile Plant	No
Integrated Silk Production	Yes
Tannery	Yes
Packaging (cartons and cans)	Yes

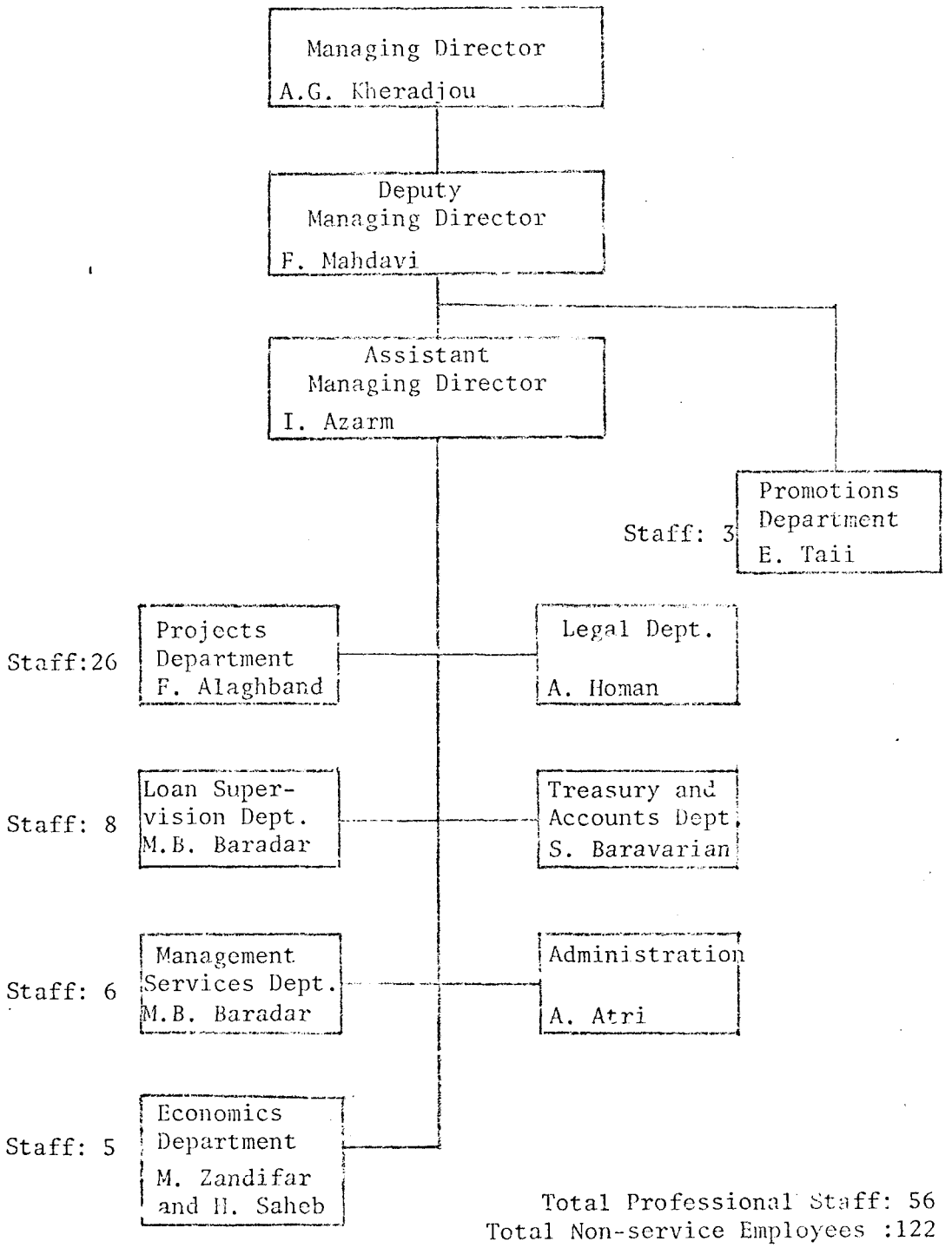
NOTE: This list includes only "true" promotions -- firms that were created by IMDBI itself. In many instances IMDBI put as much effort into helping others with their entrepreneurial activities as it put into its own promotions.

SOURCE: Interviews with management

Exhibit 9

THE INDUSTRIAL AND MINING DEVELOPMENT BANK OF IRAN

Organization Structure (May, 1973)



Total Professional Staff: 56
Total Non-service Employees :122

SOURCE: Company records

Exhibit 10

THE INDUSTRIAL AND MINING DEVELOPMENT BANK OF IRAN (A)

Shown below are the cash flows experienced by an investor who purchased one share of IMDBI stock in 1959 and who fully utilized all subsequent issues of rights to purchase new shares.

Year ended March 20	Shares Held	New Capital Invested	Dividends Received	Yield on Invested Cap.	Net Cash Flow
1960	1.0	Rls. 1000	Rls. 0	---	Rls. -1000
1961	1.0	--	33	3.3%	33
1962	1.0	--	50	5.0	50
1963	1.0	--	54	5.4	54
1964	1.0	--	58	5.8	58
1965	1.0	--	63	6.3	63
1966	1.2*	--	96	8.0	96
1967	1.2	--	96	8.0	96
1968	1.8	600	180	10.0	-420
1969	2.4	600	240	10.0	-360
1970	2.4	--	288	12.0	288
1971	2.4	--	288	12.0	288
1972	3.75	1350	450	12.0	-900
1973	4.125**	--	450	12.0	450
TOTALS		Rls. 3550	Rls. 2346		Rls. -1204

*One-for-five bonus shares issued

**One-for-ten bonus shares issued, dividends not paid on bonus shares during 1972/3.

SOURCE: IMDBI Annual Reports